

No.1 State Attracting Foreign Investments

Maharashtra has always been the bastion of industrial progress. To further enhance industrial progress and eradicate unemployment, the Government has established the Maharashtra Industrial Development Corporation (MIDC) to enable establishment of industrial estates with all



necessary provisions and infrastructural facilities. Till date, MIDC has established 229 industrial estates on 60,000 acres of land throughout the State. These include Information Technology Parks, Special Economic Zones (SEZs), Wine Parks, Silver Zones, and industries like Gems and Jewellery, Clothing Tanneries, Electronics, Food Processing, Horticulture and Chemicals.

In one of the most path-breaking decisions in recent years, the Government of Maharashtra has designed its own Independent Policy in 2001. This policy was designed to boost Foreign Direct Investment in the State. Its main thrust was on improving productivity. Santacruz Electronic Export Promotion Zone (SEEPZ) is the earliest developed industrial estate. Steps were taken to amend excise duty rules, free the foreign currency policy and give tax benefits to encourage industrialisation through SEZs. Until now 136 SEZs have been approved in Maharashtra. A total Investment of Rs.1,35,000 crore expected in these SEZs.

- ❖ Mega Projects Policy formulated to attract investments worth Rs. 2 lakh Crore.
- ❖ Maharashtra has 136 SEZs which are maximum in the country encouraging Foreign Direct Investments (FDI).
- ❖ Attracted the highest FDI (21% of the country's total) between 1991-2007 with 4041 proposals having committed investments of USD 17 Billion.
- ❖ FICCI FDI survey 2006 says, Maharashtra continues to be the #1 State for FDI.

MIDC is developing 21 additional SEZs. Out of these 6 have been finalised and 12 have been approved in principle. MIDC is trying to maintain a regional balance while developing these projects. Therefore the Corporation has decided to develop 2 projects in Nagpur, 3 in Amaravati, 5 in Aurangabad, 4 in Konkan and 7 in Pune area.

Besides these, MIDC is developing some SEZs with the help of other companies. Projects are being developed with collaboration of Mahindra & Mahindra at Karla near Pune, Bharat Forge at Khed in Pune, Videocon at Vagholi in Shirur, Supreme Petrochemical in Raigad, India Bulls Infrastructure Development Company at Ranjankhar in Raigad and Musalgaon in Nashik district. The project at Kedarpur in Nashik district will be developed with the help of Tata Reality and Infrastructure.

The Government has also focused on developing various infrastructural facilities along with SEZ projects. Government has undertaken construction of Highways on Build, Operate and Transfer (BOT) basis. Similar projects have been undertaken at Jaisinghpur in Kolhapur district for bypass and at Khambataki near Satara for road tunnel. Private sector companies will build such projects, maintain and operate them and ultimately transfer them to the Government. The objective of this effort is to attract more Foreign Direct Investment in Maharashtra.

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- ❖ Lately, goliaths such as General Motors, Mercedes Benz, Mahindra and Mahindra, Bajaj, Tata Motors, Volkswagen, Hyundai have set up their projects in Pune district.
- ❖ 18 lakh vehicles are expected to be churned out of these manufacturing units and completion of these projects will bring this region to the forefront as leading producer of vehicles.
- ❖ Districts of Chakan and Talegaon known to be leading suppliers of onion and other vegetables in our country will now witness production of high-end vehicles on their home grounds.



Maharashtra's forward looking IT policy has been well received in the IT sector. 25 per cent of the top 500 software companies in India are based in Maharashtra. 10 of the top 20 Software and Services Exporters in India have operations in the State. Maharashtra has 33 Public IT Parks and 212 Private Parks, which provide employment to 30 per cent of the country's IT professionals. Maharashtra accounts for 32 per cent of internet subscribers, 35 per cent of National PC market and peripherals. The State further contributes over 20 per cent of the total software exports from India. In addition